The three resources that drive a company

BUSINESS BASICS | Merely possessing people, assets and capital does not create corporate value

PEOPLE × ASSETS × CAPITAL

A company's strength is not determined by the quantity of its resources alone. What matters is how it combines the three and how efficiently it converts them into profit and cash.

Resources → productivity → profit → reinvestment → corporate value

What are people, assets and capital?

THREE RESOURCES

PEOPLE
Managers and employees; engineers and sales capabilities; knowledge, experience and organizational strength. The quality of people determines resource allocation and execution.

ASSETS
Factories and equipment; products and raw materials; technology, patents and brands. Equipment and technology form a basis for competitive advantage.

CAPITAL
Cash and capital; borrowing capacity; investment funds and creditworthiness. Funds can be reallocated to people, equipment, M&A and R&D.

Today, “information” is sometimes added as a fourth management resource.

How resources are used makes the difference

CAPITAL ALLOCATION | Two companies with the same ¥10 billion may have different values ten years later

Strong companies
Hire excellent people; invest in high-return businesses; reduce unnecessary assets; select R&D and M&A carefully; reinvest profits.

Weak companies
Leave surplus funds idle; preserve low-return businesses; get little benefit from capital expenditure; fail to use people's abilities; fail to turn profits into growth.

“Many assets” ≠ “a good company”
Companies that can reinvest capital at high returns are more likely to benefit from compounding.

Examine margins, ROE, ROIC, operating cash flow, reinvestment destinations and management's capital allocation.

Investors assess conversion efficiency

INVESTMENT VIEW

PEOPLE: Is management allocating capital correctly?
ASSETS: Are equipment, technology and brands generating profits?
CAPITAL: Is cash used appropriately for growth investment, shareholder returns and M&A?

The ultimate question
How many yen of value can be created from one yen of capital?

The ability to turn people, assets and capital into profit and cash defines corporate quality.

A good company is one that can multiply its resources, rather than simply possess them.